

Amendment No. 3 to HB0968

Hicks G
Signature of Sponsor

AMEND Senate Bill No. 763*

House Bill No. 968

by deleting SECTION 4 and substituting the following:

SECTION 4. Tennessee Code Annotated, Section 67-4-1005, is amended by deleting the section and substituting instead the following:

- (a) The rate on all other tobacco products, including, but not limited to, cigars, cheroots, stogies, beedies, bidis, manufactured tobacco, and snuff of all descriptions made of tobacco or any substitute for tobacco, but not on vapor products, is six and six-tenths percent (6.6%) of the wholesale cost price.
- (b) The rate on vapor products is ten percent (10%) of the wholesale cost price.
- (c) This section does not apply to smokeless nicotine products.

AND FURTHER AMEND by deleting SECTION 6 and substituting instead:

SECTION 6. Tennessee Code Annotated, Section 67-4-1025, is amended by adding the following as a new subsection:

- (f) Twelve and one-half percent (12.5%) of the revenue from taxes on vapor products collected under this part must be deposited with the state treasurer to be earmarked for and allocated to the alcoholic beverage commission to be used exclusively for administration and enforcement of § 67-4-1034. Any unexpended funds at the end of a fiscal year revert to the general fund, less any costs for the administration and enforcement of these taxes.

AND FURTHER AMEND by deleting subsection (b) in the amendatory language of SECTION 7 and substituting instead the following:

(b) By August 1, 2025, and annually thereafter, each manufacturer of a vapor product that is sold for retail sale in this state, whether directly or through an importer, wholesaler, distributor, retailer, or similar intermediary or intermediaries, shall execute and deliver to the department a certification, under penalty of perjury on a form and in a manner prescribed by the department, that the manufacturer is compliant with this section and that, for each vapor product sold for retail sale in this state:

(1) The manufacturer has received a marketing granted order for the vapor product from the United States food and drug administration (FDA) pursuant to 21 U.S.C. § 387j;

(2) The manufacturer submitted a timely filed premarket tobacco product application for the vapor product to the FDA pursuant to 21 U.S.C. § 387j, and the application either:

(A) Remains under review by the FDA; or

(B) Has received a denial order that has been and remains:

(i) Stayed by the FDA or court order;

(ii) Rescinded by the FDA; or

(iii) Vacated by a court;

(3) The manufacturer is not required to submit an additional marketing granted order or premarket tobacco product application for the vapor product because the vapor product merely reflects changes to the name, brand style, or packaging of a vapor product that is covered under subdivision (b)(1) or (b)(2); or

(4) The consumable material of the vapor product was processed or blended in the United States at an FDA-registered facility and the consumable material of the vapor product did not come from a foreign adversarial country. As used in this subdivision (b)(4), "foreign adversarial country" means a country designated by the United States department of commerce under 15 CFR 791.4 on January 1, 2025.

AND FURTHER AMEND by deleting subsection (f) in SECTION 7 and substituting instead:

(f) To the extent that 21 U.S.C. § 387j is amended, or subsequent regulations or other official federal guidance or formal policy statement is issued, changing compliance requirements or standards for a vapor product to become federally compliant, each manufacturer of a vapor product that is sold for retail sale or to a consumer in this state shall submit documentation to the department substantiating compliance with such new federal requirements or standards within thirty (30) calendar days of the date compliance with such requirement or standard is mandated. Failure to substantiate compliance with new federal requirements or standards is grounds for removal of the manufacturer and its vapor products from the directory established pursuant to subsection (g).

AND FURTHER AMEND by deleting the language "January 1, 2026" in SECTION 7(j) and substituting instead "January 1, 2027".

AND FURTHER AMEND by adding the following new section immediately preceding the last section and renumbering the subsequent section accordingly:

SECTION 8. Tennessee Code Annotated, Title 67, Chapter 4, Part 10, is amended by adding the following as a new section:

(a) A retailer, distributor, wholesaler, or importer who sells or offers for sale a vapor product for retail sale in this state shall not:

(1) Advertise or market, including paraphernalia, to an individual who is under twenty-one (21) years of age, including:

(A) With names that resemble or imitate food or drink brands that are marketed to children;

(B) With images or likenesses of toys, cartoons, or animated or fictional characters, including Santa Claus, that are designed to appeal to or encourage individuals who are under twenty-one (21) years of age to consume vapor products;

(C) With images or visual representations of the consumption of vapor products; or

(D) In a medium that specifically appeals to individuals who are under twenty-one (21) years of age such that the advertising has special attractiveness to individuals who are under twenty-one (21) years of age beyond general attractiveness for individuals who are at least twenty-one (21) years of age.

(b) A billboard advertisement under this section is prohibited within one thousand (1,000) radial feet of any childcare center, church, substance abuse recovery facility, public park, public playground, or public or private school that provides instruction to students in a preschool or kindergarten program or any of grades one (1) through twelve (12). A billboard advertisement under this subsection (b) has the same meaning as "outdoor advertising device" as defined in § 54-21-102.

(c) A retailer, distributor, wholesaler, or importer who sells or offers for sale a vapor product for retail sale in this state that violates this section, on notification by the department, has thirty (30) days to comply with these requirements or will otherwise be subject to the civil penalties of a minimum of two thousand five hundred dollars (\$2,500) and any disciplinary action prescribed in this section.

(d) A retailer, distributor, wholesaler, or importer who sells or offers for sale a vapor product for retail sale in this state to anyone under twenty-one (21) years of age is subject to a fine of two thousand five hundred dollars (\$2,500) for the first offense, and a fine of at least twenty thousand dollars (\$20,000) and loss of licensure for any subsequent offense.

(e) The alcoholic beverage commission has concurrent jurisdiction with the department of revenue to enforce violations of title 39, chapter 17, part 15. The commission may investigate such violations, conduct unannounced compliance checks, and arrest individuals based on probable cause of noncompliance.

AND FURTHER AMEND by deleting the effective date section and substituting:

SECTION 9. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 10. Sections 1-6 and 8-9 of this act take effect July 1, 2025, the public welfare requiring it. For purposes of promulgating rules, Section 7 of this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, Section 7 takes effect August 1, 2025, the public welfare requiring it.